

BFSI Sector FAQs with Answers

1. What does BFSI stand for?

BFSI stands for **Banking, Financial Services, and Insurance**. It is a sector that provides financial products and services such as banking, loans, investments, payments, and insurance to individuals and businesses.

2. What are the main components of the BFSI sector?

The BFSI sector mainly includes:

- Banks
 - Insurance companies
 - NBFCs (Non-Banking Financial Companies)
 - Investment firms
 - Mutual fund companies
 - Payment gateways and fintech companies
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3. What is the difference between a bank and an NBFC?

A bank can accept demand deposits like savings and current accounts, while an NBFC cannot. Both can provide loans and financial services, but banks are more strictly regulated.

4. What is KYC in banking?

KYC stands for **Know Your Customer**. It is the process used by financial institutions to verify the identity of customers to prevent fraud, money laundering, and illegal activities.

5. Why is KYC important?

KYC helps financial institutions:

- Verify customer identity

- Prevent fraud
 - Reduce money laundering risks
 - Comply with government regulations
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6. What is AML in BFSI?

AML stands for **Anti-Money Laundering**. It includes policies and procedures used by financial institutions to detect and prevent illegal money transactions.

7. What is a savings account?

A savings account is a bank account where customers can deposit money safely while earning interest on the balance.

8. What is a current account?

A current account is mainly used by businesses for frequent transactions. It usually does not provide interest but allows higher transaction limits.

9. What is interest rate?

An interest rate is the percentage charged by a lender for borrowing money or earned by a customer for depositing money in a bank.

10. What is EMI?

EMI stands for **Equated Monthly Installment**. It is the fixed amount paid monthly by a borrower to repay a loan over a specific period.

11. What is a credit score?

A credit score is a numerical value that represents a person's creditworthiness based on repayment history and financial behavior.

12. Why is a credit score important?

A good credit score helps customers:

- Get loans easily
 - Receive lower interest rates
 - Increase chances of credit card approval
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13. What is a home loan?

A home loan is a loan provided by banks or financial institutions to help individuals purchase or construct a house.

14. What is insurance?

Insurance is a financial product that provides protection against financial losses caused by accidents, illness, damage, or death.

15. What is life insurance?

Life insurance provides financial support to the nominee or family of the insured person in case of the policyholder's death.

16. What is health insurance?

Health insurance covers medical expenses such as hospitalization, surgeries, medicines, and treatments.

17. What is underwriting in insurance?

Underwriting is the process of evaluating the risk involved in insuring a person or asset before approving the insurance policy.

18. What is a claim in insurance?

A claim is a formal request made by the policyholder to the insurance company for compensation based on policy coverage.

19. What is digital banking?

Digital banking allows customers to access banking services online using mobile apps, websites, or internet banking without visiting a branch.

20. What is UPI?

UPI (Unified Payments Interface) is a real-time payment system in India that enables instant money transfers between bank accounts using mobile devices.

21. What is mobile banking?

Mobile banking is a service that allows customers to perform banking activities through a mobile application.

22. What is net banking?

Net banking, also called internet banking, allows customers to access banking services through a bank's website.

23. What is a debit card?

A debit card allows customers to spend money directly from their bank account for purchases or ATM withdrawals.

24. What is a credit card?

A credit card allows customers to borrow money from the bank up to a certain limit for purchases and repay it later.

25. What is fraud detection in BFSI?

Fraud detection involves identifying suspicious activities or unauthorized transactions to protect customers and financial institutions.

26. What is cybersecurity in BFSI?

Cybersecurity refers to protecting banking and financial systems from cyberattacks, hacking, phishing, and data theft.

27. What is a mutual fund?

A mutual fund is an investment vehicle where money from multiple investors is pooled and managed by professional fund managers.

28. What is SIP in mutual funds?

SIP (Systematic Investment Plan) allows investors to invest a fixed amount regularly in mutual funds.

29. What is risk management in BFSI?

Risk management is the process of identifying, analyzing, and minimizing financial and operational risks.

30. What is fintech?

Fintech refers to technology-driven financial services such as digital payments, online lending, robo-advisors, and mobile wallets.

31. What is a payment gateway?

A payment gateway is a technology platform that securely processes online payments between customers and merchants.

32. What is loan disbursement?

Loan disbursement is the process of releasing the approved loan amount to the borrower.

33. What is loan repayment?

Loan repayment is the process of paying back borrowed money along with interest over a fixed tenure.

34. What is NPA in banking?

NPA stands for **Non-Performing Asset**. It refers to a loan where the borrower has stopped making repayments for a specified period.

35. What is customer onboarding in BFSI?

Customer onboarding is the process of registering and verifying a new customer before providing financial services.

36. What is RBI?

RBI (Reserve Bank of India) is the central bank of India responsible for regulating banks and maintaining financial stability.

37. What is compliance in BFSI?

Compliance means following government regulations, legal requirements, and internal policies to ensure safe and lawful operations.

38. What is core banking?

Core banking refers to centralized banking systems that allow customers to access their accounts and banking services from any branch.

39. What is financial inclusion?

Financial inclusion means providing affordable financial services to all individuals, especially people in rural or underserved areas.

40. What are the benefits of AI in BFSI?

AI helps BFSI companies by:

- Detecting fraud
- Automating customer support
- Improving risk analysis
- Personalizing financial services
- Enhancing operational efficiency